# Apple Inc.

**AAPL** NASDAQ

| Buy | $352.66 ▲ 6.25% | 12M Price Target | 52-Week Range | Market Cap |
|---|---|---|---|---|
| | | **$385.00** | $243.42 – $354.47 | $5.12T |

## AAPL: Blue Wave + Gridlock = Goldilocks for Apple

### WHAT HAPPENED

- AAPL ripped +6.25% to a new all-time high of $352.66 — this isn't an Apple-specific story, it's a post-election relief rally. Democrats took Congress, which normally would spook tech (regulation fears), but the White House stays Republican — so you get GRIDLOCK, meaning nothing big passes. For a mega-cap like Apple, "nothing happens in DC" is actually the dream scenario: no corporate tax hikes, no aggressive antitrust bills, no new tech regulation.
- The AI sector sold off recently (you can see AAPL was down 4 straight days into Nov 3), and ironically that SAVED Apple — money rotated OUT of expensive AI names and INTO "quality" mega-caps that lagged the AI trade. Apple is suddenly the safe tech name again.

### WHY IT MATTERS

Here's the big picture: Apple just broke out to a fresh all-time high on 98% of its 52-week range, which technically is a huge bullish signal — but the move is driven by politics, not fundamentals, so you need to be clear-eyed about what you're buying. The gridlock thesis means the DOJ antitrust case against the App Store likely loses political oxygen (a Democratic Congress won't pass new antitrust laws, and a Republican administration may soften enforcement), which removes a massive overhang that's been capping Apple's multiple for 2 years. The unusual call buying at $345-$350 strikes ($48M+ in notional) tells you institutions are positioning for MORE upside, not fading this rally. The one yellow flag: insiders (especially the Head of Government Affairs) are selling — which could just be scheduled selling, or could mean they know the policy tailwind is already priced in.

### POLICY & POLITICAL WATCH

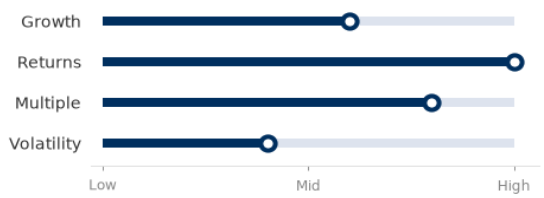
Three things to watch: (1) **China tariffs** — Apple makes ~90% of iPhones in China, so any tariff de-escalation talk from the new Congress is pure margin upside; a 10% tariff cut could add ~$3-5 to EPS. (2) **DOJ antitrust case on the App Store** — this is the single biggest regulatory risk, but with a split government, don't expect new legislation forcing a breakup; the case grinds through courts for years. (3) **Digital Services Tax talks in Europe** — not US-driven, but a bigger risk than most realize since Services is now 25%+ of Apple's revenue and carries 70% margins. Net-net: the US regulatory environment just got FRIENDLIER for Apple overnight.

### IS IT EXPENSIVE?

### Key Data

| | |
|---|---|
| Price (USD) | **$352.66** |
| 12M Price Target | **$385.00** |
| Upside / (Downside) | **+9.2%** |
| Market Cap | **$5.12T** |
| FY2026E Revenue | **$445M** |
| FY2027E Revenue | **$478M** |
| FY2026E EPS | **$7.85** |
| FY2027E EPS | **$8.75** |
| Fwd P/E | **44.9x** |

### INVESTMENT PROFILE




### 12-MONTH PRICE PERFORMANCE VS. S&P; 500





This report is prepared by Langston's using SEC EDGAR filings, market data (yfinance), and AI-generated analysis. It does not constitute investment advice. All figures are estimates. Past performance is not indicative of future results. Investors should conduct their own due diligence.

**AAPL** — Apple Inc. | November 04, 2026

## PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

| TIMEFRAME | BULL CASE | BASE CASE | BEAR CASE |
|---|---|---|---|
| 1 Month | **$375.00** | $360.00 | **$330.00** |
| 6 Months | **$400.00** | $375.00 | **$310.00** |
| 1 Year | **$430.00** | $385.00 | **$290.00** |
| 2 Years | **$500.00** | $420.00 | **$280.00** |
| 5 Years | **$650.00** | $520.00 | **$320.00** |
| 10 Years | **$900.00** | $700.00 | **$400.00** |

## WHAT'S MOVING IN THE SECTOR

**HEATING UP:** Consumer Discretionary (+4.6%) and Consumer Staples (+3.5%) — classic "election relief" sectors; investors betting that gridlock = no tax hikes = consumer spending holds up. Real Estate (+3.0%) ripping because gridlock means no fiscal expansion, which means lower rates.

**COOLING OFF:** Pure-play AI names got hit earlier this week — the "AI bubble" trade is losing some steam as investors question whether capex spending justifies valuations.

**ROTATION WATCH:** Money is rotating OUT of speculative AI and INTO mega-cap quality (Apple, Microsoft both at all-time highs). This is a "flight to quality within tech" trade — investors want AI exposure WITHOUT the binary risk.

**RELATED PLAY:** If Apple's China tariff relief thesis plays out, Apple suppliers like Qualcomm (QCOM), Broadcom (AVGO), and Taiwan Semi (TSM) are second-order beneficiaries with cheaper multiples.

## WHO'S WINNING IN THIS SPACE?

- MSFT (Microsoft): Also hit an all-time high today — same gridlock thesis, plus massive AI/cloud tailwind
- GOOGL (Alphabet): Antitrust overhang suddenly looks less scary with a split government

**AAPL CONTEXT:** Apple is LEADING the mega-cap pack today (+6.25% vs Nasdaq +2%), which tells you Apple had the most pent-up regulatory discount baked into the price. The stock had been lagging MSFT/GOOGL for 18 months — this move is partly catch-up. From here, Apple likely trades in-line with the group rather than leading.

## WHAT I'D DO WITH THIS STOCK

**7/10** Conviction Score

**Position Size:** 5-8% of portfolio (core holding)

**Entry Points:** $335-$345 on pullbacks

**Time Horizon:** 12-24 months

**Thesis Invalidation:** China tariff escalation, iPhone unit declines >10% YoY, or DOJ antitrust case forces App Store breakup

**Hedging:** Buy protective puts 10% OTM, or pair with a short on a richer-multiple hardware name



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